

Confidence per se is not a bad thing. But overconfidence is another matter, and it can be particularly damaging when we are dealing with our financial affairs. Overconfident investors not only make silly decisions for themselves but also have a powerful effect on the market as a whole.

Investors, as a rule, are highly confident they are smarter than everyone else. They have a tendency to overestimate their skills and their knowledge. They typically rely on information that confirms what they believe, and disregard contrary information. In addition, the mind works to assess whatever information is readily available rather than to seek out information that is little known. Too often, investors and money managers are endowed with a belief that they have better information and therefore can profit by outsmarting other investors.

Overconfidence explains why so many money managers make wrong calls. They take too much confidence from the information they gather, and think they are more right than they actually are. If all the players think their information is correct and they know something that others do not, the result is a great deal of trading.

Overreaction Bias

One of the most important names in the field of behavioral finance is Richard Thaler, professor of behavioral science and economics, who moved from Cornell to the University of Chicago with the sole purpose of questioning the rational behavior of investors. He points to several recent studies that demonstrate that people put too much emphasis on a few chance events, thinking that they spot a trend. In particular, investors tend to fix on the most recent information they received and extrapolate from it; the last earnings report thus becomes in their mind a signal of future earnings. Then, believing that they see what others do not, they make quick decisions based on superficial reasoning.

Overconfidence is at work here, of course; people believe they understand the data more clearly than others and interpret it better. But there is more to it. Overconfidence is exacerbated by overreaction. The behaviorists have learned that people tend to overreact to bad news and react slowly to good news. Psychologists call this overreaction bias. Thus, if the short-term